

LEC # 04

PRINCIPLE OF MANAGEMENT

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Planning and Decision Making

Planning and decision-making are fundamental management functions that help organizations **set objectives, allocate resources, and implement strategies** efficiently. Planning provides a roadmap for the future, while decision-making ensures the best choices are made to achieve those plans.

★. Planning

Planning is a systematic approach that involves determining objectives and selecting the best course of action. The process includes the following steps:

Step 1: Setting Objectives

Objectives are the foundation of planning. They define what the organization aims to achieve in a given time frame.

- **Importance:**

Provides direction and purpose.Helps in resource allocation and performance measurement.Ensures that all departments work toward a common goal.

- **Example:**

- A **software company** sets an objective to develop a **new AI chatbot** within six months.
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Step 2: Developing Premises

Premises are assumptions about future conditions that affect the plan. These can include economic conditions, competitor actions, government policies, and technological advancements.

- **Types of Premises:**

- **Internal Premises:** Organizational policies, resources, capabilities.
- **External Premises:** Market trends, customer preferences, legal factors.

- **Example:**

- A company planning a **new mobile app** considers **customer demand, availability of skilled developers, and potential competition.**

Step 3: Identifying Alternatives

Since there can be multiple ways to achieve an objective, managers need to explore different alternatives. Each alternative is assessed based on cost, feasibility, risks, and expected outcomes.

Evaluation Criteria:

- **Cost-effectiveness** – Which option is the most affordable?
- **Time efficiency** – Which approach will complete the task faster?
- **Scalability** – Can the chosen method support future growth?

Step 4: Implementing the Plan

Once an alternative is selected, the plan is put into action.

- **Challenges in Implementation:**

Employee resistance to change.

Lack of resources or budget constraints.

Unexpected market shifts.

Example:

A tech company launching a new cloud service might face **server outages or security risks** during deployment.

★. Types of Planning

Organizations create different types of plans based on their goals and time frame. The three main types of planning are:

1. Strategic Planning (Long-Term Planning)

Strategic planning focuses on the long-term vision and direction of an organization. It typically covers a period of three to five years or more and is developed by top-level management, such as CEOs and directors. This type of planning involves setting major goals, analyzing external market trends, and making decisions that shape the future of the organization.

Helps organizations stay competitive and adapt to market changes.

Example:

- Apple's decision to expand into **electric vehicles (EVs)** as a long-term strategy.

2. Tactical Planning (Medium-Term Planning)

Tactical planning is more focused on medium-term goals and serves as a bridge between strategic plans and everyday operations.

It is typically carried out by middle management, including department heads and project managers, and covers a period of one to three years. The purpose of tactical planning is to break down strategic objectives into specific, actionable steps that different departments can implement.

Tactical plans help in resource allocation and implementation of strategies. organizations stay on track by ensuring that the strategic vision is translated into achievable milestones.

For Example, if a company's strategic goal is to dominate the e-commerce market, its tactical plan may involve launching a new mobile app, improving customer support services, or forming partnerships with logistics companies.

3. Operational Planning (Short-Term Planning)

Operational planning focuses on the short-term execution of tasks and is concerned with the day-to-day activities of an organization. It is usually developed by lower-level managers, supervisors, and team leaders to ensure that routine tasks are completed efficiently. Unlike strategic and tactical planning, which involve long-term goals, operational plans focus on immediate objectives, typically within weeks or months.

For example, in a software development company, an operational plan may outline the daily coding schedules, bug-fixing tasks, and software testing deadlines to ensure the timely delivery of a project. These plans are highly detailed and specific, providing clear instructions on how tasks should be performed to maintain productivity and efficiency.

★. **Decision-Making**

The **decision-making process** is a structured approach that helps managers and organizations make informed choices to achieve their goals efficiently. It involves several key steps that ensure logical reasoning, effective problem-solving, and successful implementation.

Decisions are made in three perspectives

1. Rational Perspective on Decision Making

2. Behavioral Aspects of Decision Making

3. Group and Team Decision Making

1. Rational Perspective on Decision Making

The rational perspective on decision-making is based on the idea that decision-makers are logical, systematic, and objective in choosing the best possible solution. This approach assumes that individuals have complete information, can evaluate all possible alternatives, and will select the

option that maximizes benefits while minimizing risks.

The **rational decision-making process** typically follows these steps:

1. **Problem Identification:** Clearly define the issue that needs to be resolved.
2. **Gathering Information:** Collect relevant data, facts, and figures to understand the situation.
3. **Identifying Alternatives:** Generate multiple solutions to address the problem.
4. **Evaluating Alternatives:** Analyze each option based on cost, effectiveness, feasibility, and impact.
5. **Selecting the Best Option:** Choose the most logical and beneficial alternative.
6. **Implementing the Decision:** Put the selected solution into action.
7. **Reviewing the Outcome:** Monitor results to determine if the decision achieved the desired goal.

The rational approach is often used in financial planning, engineering, and management strategies

where logical analysis and data-driven decisions are required.

2. Behavioral Aspects of Decision Making

The behavioral perspective on decision-making recognizes that human psychology, emotions, biases, and social influences affect how decisions are made. Unlike the rational model, which assumes that decision-makers are completely logical, the behavioral approach acknowledges that individuals often make decisions based on intuition, experience, and personal preferences rather than objective analysis.

Key behavioral aspects influencing decision-making include:

- **Intuition and Experience:** In uncertain situations, decision-makers rely on past experiences and gut feelings rather than strict data analysis.
- **Emotions and Stress:** Anxiety, excitement, fear, and other emotions can shape decision-making,

sometimes leading to impulsive or irrational choices.

- **Cognitive Biases:** Human judgment is influenced by biases such as overconfidence, favoring information that supports pre-existing beliefs, and relying too much on initial information.

The behavioral approach is particularly relevant where human factors significantly influence outcomes.

3.Group and Team Decision Making

In organizations, many decisions are made collectively by teams rather than individuals. Group decision-making brings diverse perspectives, knowledge, and skills, which can lead to better outcomes. However, it also presents challenges such as conflicts, delays, and groupthink

Advantages of Group Decision-Making:

1. **Diverse Perspectives:** Teams bring a variety of experiences, expertise, and viewpoints, leading to more well-rounded decisions.

2. **Better Problem-Solving:** Collaborative discussions can result in innovative and creative solutions.
3. **Risk Reduction:** Groups can analyze risks from multiple angles and make balanced decisions.

Disadvantages of Group Decision-Making:

1. **Time-Consuming:** Reaching consensus can take longer compared to individual decision-making.
2. **Groupthink:** Members may conform to the majority opinion rather than critically evaluating alternatives.
3. **Conflict and Disagreements:** Differing opinions may lead to arguments and slow decision-making.
4. **Responsibility Diffusion:** No single person is accountable for the final decision, which may reduce accountability.

➤ To improve group decision-making, organizations use structured techniques such as:

- Encouraging free-flowing ideas without immediate criticism.
- Each member presents an idea, which is then discussed and ranked.
- Ensuring all members agree before finalizing a decision.